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TEACHING & LEARNING MATERIAL FOR
E-COMMERCE
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UNIT 1 Introduction to E Commerce:

1.1 Definition of E Commerce E-commerce, or electronic commerce, is the buying and selling of goods, services, or information over the internet and other computer-mediated networks. It covers online retail, digital products, and transactions between businesses, consumers, or governments. E-commerce offers 24/7, global reach, often utilizing online storefronts, digital shopping carts, and secure payment systems.

E-commerce (electronic commerce) is the digital process of buying and selling goods, services, or information over the internet. While it originated in the 1960s with **Electronic Data Interchange (EDI)** for business document exchange, the first secure online retail transaction—the sale of a Sting CD—did not occur until 1994.

Core Business Models

E-commerce is primarily classified by the parties involved in the transaction:

- **Business-to-Consumer (B2C):** The most common form, where businesses sell directly to individual end-users (e.g., Amazon, Walmart).
- **Business-to-Business (B2B):** Transactions between companies, such as a manufacturer selling to a wholesaler (e.g., Alibaba).
- **Consumer-to-Consumer (C2C):** Individuals selling to other individuals, typically via a third-party platform (e.g., eBay, Facebook Marketplace).
- **Consumer-to-Business (C2B):** Individuals providing products or services to organizations (e.g., freelancers on Upwork or Fiverr).
- **Government-to-Citizen/Business (G2C/G2B):** Online portals for public services, tax payments, or business permits.

Key Benefits & Challenges

Feature	Benefits	Challenges
Reach	Global access without geographical barriers.	High competition on a global scale.
Operations	24/7 availability for browsing and buying.	Technical reliability needs (downtime kills sales).
Costs	Lower overhead (no physical storefront rent/staff).	Logistics complexity and shipping costs.
Customer Experience	Personalization through data and AI.	Security risks like data breaches or fraud.

Essential Components of an E-commerce Business

1. **Online Storefront:** A dedicated website built on platforms like Shopify, Wix, or WooCommerce.
2. **Payment Gateway:** Secure processors like PayPal or Stripe to handle financial transactions.
3. **Order Fulfillment:** Systems for managing inventory and shipping, which can be **self-fulfilled** or outsourced via **dropshipping** or **3PL**.

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4. **Digital Marketing:** Strategies like **SEO**, social media advertising, and email campaigns to drive traffic.

E-commerce is increasingly driven by emerging technologies like **Artificial Intelligence** for personalized recommendations and **Augmented Reality** to allow customers to "try on" products or visualize furniture in their homes.

1.2 E Commerce Industry Framework :-

An e-commerce industry framework is a multi-layered structure combining technology, security, and business services to enable online transactions. It typically includes network infrastructure, multimedia content, messaging, and security, allowing for efficient product cataloging, payment processing, and inventory management. Key components range from user-facing presentation layers to backend data management and fulfillment.

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Core Layers of the E-Commerce Framework

The industry framework is often structured into five distinct, foundational layers:

- **Network Infrastructure:** The fundamental, physical network allowing communication and data transfer.
- **Multimedia Content and Network Publishing:** The structure for presenting information, including web design, catalogs, and product descriptions.
- **Messaging and Information Dissemination:** Tools for communication, such as email, EDI (Electronic Data Interchange), and webcasting.
- **Security and Encryption:** Protocols (like SSL) ensuring secure transactions, data protection, and user authentication.
- **Technical/Business Application:** The actual applications used for e-commerce, such as electronic catalogs, online payments, and shopping carts.

Architectural Components (Technical View)

From a technical perspective, the framework is divided into three main tiers:

- **Presentation Layer:** The user interface (frontend) that customers interact with, including web pages and mobile apps.
- **Business Logic Layer:** The core functionality, covering order processing, product management, and payment gateways.
- **Data Layer:** The backend databases, analytics tools, and inventory systems.

1.2.1 The Information Super Highway : The "information superhighway" (or "infobahn") is a 1990s metaphor for the interconnected global network of digital communication systems, primarily the Internet, enabling rapid, widespread access to information, video, and other media, championed by U.S. Vice President Al Gore as a future infrastructure for communication, commerce, and entertainment. It envisioned a high-capacity digital road for text, pictures, and film, connecting homes and businesses through technologies like fiber optics, transforming the internet into a global library and interactive hub.

Key aspects of the concept:

- **Origin:**
Coined by Al Gore, describing future digital networks, and related to U.S. government initiatives for the National Information Infrastructure (NII).
- **Metaphor:**
Compares digital pathways (Internet, cable, phone lines) to physical roads, with data flowing like traffic, allowing two-way communication.

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- **Technology:**
Anticipated high-speed, high-capacity networks, ideally using fiber optic cables, to deliver rich media (video, sound, text) beyond current copper phone lines.
- **Vision:**
To create a global, accessible platform for education, business, entertainment (like video-on-demand and interactive games), and teleworking, democratizing information access.
- **Reality:**
The Internet, with its vast interconnected networks, became the foundation and the realization of the information superhighway's core promise.

1.2.2 Multimedia Content and Network Publishing : Multimedia content and network publishing infrastructure comprise the hardware, software, and protocols required to create, manage, and distribute digital media—text, audio, video, and graphics—over the internet. Core components include content management systems (CMS), servers, high-speed networks (fiber/wireless), and web technologies like HTML and Java.

Key Components of the Infrastructure:

- **Content Creation & Management (Software):** Content Management Systems (CMS) are used to create, edit, and organize multimedia. Data is often stored in databases and digital repositories.
- **Hardware and Storage:** Servers and storage devices are crucial for storing large volumes of data. Modern systems leverage cloud infrastructure for scalability.
- **Network Transport ("I-way"):** High-speed, interactive pipelines—including fiber optics, satellites, and cable—transfer content, often referred to as the "information superhighway".
- **Publishing & Formatting:** Content is formatted using languages like HTML for viewing on the World Wide Web.
- **Protocols & Security:** Protocols such as HTTP, FTP, and SMTP are used for transferring content. Encryption and authentication methods are vital to secure the content and transactions.

Functionality and Application:

- **Multimedia Delivery:** The system handles various media types, including streaming video and audio, for end-users.
- **E-commerce Integration:** Network publishing acts as a layer in e-commerce, allowing businesses to display, distribute, and sell digital content.
- **Web-based Information Systems:** These infrastructures enable, for example, the operation of online, multimedia-based scholarly journals.

1.2.3 Message and Information Distribution: Messaging and information distribution in e-commerce utilize digital networks to facilitate buying, selling, and logistics, integrating channels like email, SMS, and messaging apps (WhatsApp) to improve customer engagement and operational efficiency. Technologies include Electronic Data Interchange (EDI), HTTP, and automated, personalized messaging to drive sales, provide updates, and manage supply chains.

Key Aspects of E-Commerce Messaging:

- **Conversational Commerce:** Leveraging messaging apps like WhatsApp and Messenger for instant customer support, personalized product recommendations, and direct sales, which increases engagement and conversion rates.

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- **Automated Updates:** Using SMS and email to send order confirmations, shipping updates, and delivery tracking (ETA) to build trust and reduce customer service inquiries.
- **Omnichannel Communication:** Integrating SMS, social media, and email for a consistent customer experience across platforms.

Information Distribution Mechanisms:

- **Electronic Data Interchange (EDI):** Standardized, structured transmission of business documents (e.g., purchase orders, invoices) between computers to automate B2B transactions.
- **Distributed Systems:** Utilizing distributed messaging systems (e.g., Kafka) to spread data across multiple nodes, ensuring reliability and high performance for, say, tracking millions of transactions simultaneously.
- **Multimedia Content Sharing:** Distributing product information via video, audio, and interactive media through online catalogs, social platforms, and email marketing.

Benefits:

- **Improved Efficiency:** Real-time information exchange improves supply chain coordination, reducing delays in procurement.
- **Customer Personalization:** Targeted messaging based on user behavior drives higher engagement and loyalty.
- **Operational Scalability:** Automated messaging systems handle high volumes of interactions without manual intervention.

1.3 Types of E Commerce:

E-commerce is primarily classified into four major types based on the parties involved in the transaction—B2B, B2C, C2C, and C2B—along with models involving government (B2G/G2C). These digital models enable buying, selling, and service exchanges over the internet, covering everything from wholesale supply chains to individual consumer sales.

Major Types of E-commerce:

- **Business-to-Business (B2B):** Companies selling to other companies (e.g., manufacturers to wholesalers, Alibaba).
- **Business-to-Consumer (B2C):** Businesses selling directly to end-users (e.g., Nike, Amazon).
- **Consumer-to-Consumer (C2C):** Individuals selling to other individuals, typically via third-party platforms (e.g., eBay, Craigslist).
- **Consumer-to-Business (C2B):** Individuals selling products or services to businesses (e.g., freelancers, photographers selling to businesses).
- **Business-to-Administration (B2A/B2G):** Transactions between companies and government bodies (e.g., online tax filing, procurement).
- **Consumer-to-Administration (C2A/C2G):** Transactions between individuals and government (e.g., paying for services or taxes online)

1.3.1 Inter Organisational E Commerce:

Refers to the electronic exchange of information, goods, services, and payments between two or more distinct organizations, often associated with Business-to-Business (B2B) transactions. It involves using technology to streamline processes like supply chain management and procurement across organizational boundaries.

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Key aspects include:

- **Participants:** Different companies, suppliers, partners, and vendors.
- **Technologies Used:** Electronic Data Interchange (EDI), B2B marketplaces, and collaborative platforms.
- **Purpose:** To improve efficiency, reduce costs, and strengthen business relationships.
- **Examples:** A manufacturer purchasing raw materials from a supplier, or an organization using an automated system for inventory management with a partner

1.3.2 Intra Organisational E Commerce:

Intra-organizational E-commerce refers to the use of internet, intranet, and other IT technologies to conduct business-related transactions, communication, and collaboration *within* a single organization. Unlike inter-organizational commerce, which involves external parties, this model focuses on internal efficiency, process automation, and employee-focused activities.

Key Aspects and Components

- **Definition:** Electronic commerce transactions that do not involve external entities, but rather occur between departments, branches, or employees within one firm.
- **Scope:** It includes internal workflows, supply chain management within the firm, information sharing, and, in some cases, business-to-employee (B2E) activities.
- **Technology Used:** Relies heavily on intranets, Enterprise Resource Planning (ERP) systems, and internal databases.

Examples of Intra-organizational E-commerce

- **Internal Procurement:** Employees ordering office supplies or equipment through an internal e-procurement system.
- **HR Services:** Employee self-service portals for payroll, leave applications, or training.
- **Internal Communication/Collaboration:** Using intranet portals to share corporate news, documents, and policies.
- **Workflow Automation:** Digitally managing production planning or internal logistics.

Advantages

- **Increased Efficiency:** Streamlines internal workflows and reduces paperwork.
- **Better Communication:** Facilitates faster, more effective information sharing across departments.
- **Reduced Costs:** Lowers costs associated with traditional, manual administrative tasks.
- **Improved Coordination:** Enhances coordination between different departments and employees.

Differences from Inter-organizational E-commerce

- **Participants:** Involves only employees and internal departments, whereas inter-organizational involves external partners.
- **Complexity:** Generally simpler, as it does not require integration with external systems.
- **Focus:** Focused on internal optimization rather than external trade.

1.3.3 Consumer to business E Commerce:

Consumer-to-Business (C2B) e-commerce is a model where individuals create value—such as services, products, or marketing content—and sell it directly to businesses online. Unlike traditional models, C2B empowers consumers to set prices or offer expertise, with examples including freelancers on Upwork, stock photographers, and social media influencers promoting brands.

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Key aspects of C2B e-commerce include:

- **Monetization of Skills/Assets:** Individuals sell specialized skills (design, coding, writing) or assets (photos, blog influence) directly to companies.
- **Value Creation:** Consumers provide marketing value through reviews, user-generated content, or social media, aiding brand awareness and trust.
- **Flexibility:**
It allows for competitive, project-based, or contractual work, providing businesses with specialized skills without full-time hiring costs
- **Examples:** Freelance platforms (Upwork, Fiverr), stock photo sites (Shutterstock, iStock), and affiliate marketing/influencer campaigns.

The model leverages the internet to reverse traditional commerce, enabling direct, efficient transactions between individuals and companies.

1.3.4 Intermediaries and E Commerce :

Intermediaries in e-commerce, often referred to as **e-intermediaries** or **online intermediaries**, are third-party entities that facilitate transactions, communication, or information exchange between buyers and sellers over the internet. They are critical in reducing transaction costs, overcoming geographical barriers, and alleviating information asymmetry, often bridging the gap between producers and consumers in the digital marketplace.

Types of E-Commerce Intermediaries

1. **Search Engines and Portals:** Act as intermediaries that help consumers find sellers. They earn revenue through advertising, click-through fees, or commissions.
2. **Online Marketplaces/E-tailers:** Platforms like Amazon or eBay that connect buyers and sellers, often managing the transaction-clearing process.
3. **Infomediaries:** Specialise in providing precise, niche information to consumers, aggregating data from multiple suppliers.
4. **E-brokers/Financial Intermediaries:** Facilitate online banking, trading, or insurance services.
5. **Social Commerce Intermediaries:** Utilize social media tools (e.g., WeChat) to bridge the supply and demand side through social connections, often using Key Opinion Leaders (KOLs).
6. **Digital Platforms (VAT/GST):** In many jurisdictions, digital platforms are now responsible for collecting tax on online sales, acting as essential tax-collection intermediaries.

Key Roles and Functions

- **Information Aggregation:** Collecting and organizing vast amounts of product/supplier data.
- **Reducing Transaction Costs:** Streamlining payments, logistics, and trust mechanisms.
- **Market Making:** Providing platforms for auctions or direct buying/selling.
- **Value Addition:** Offering search, comparison, and review functionalities to consumers.

UNIT 2 FIREWALL AND TRANSACTION SECURITY :

2.1 Firewall and Network Security : Firewalls and network security in e-commerce provide a critical, virtual barrier between internal systems and the public internet, filtering traffic to protect sensitive customer data and prevent unauthorized access. They are essential for

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

blocking malicious attacks like DDoS, SQL injections, and cross-site scripting (XSS), ensuring compliance with regulations like PCI DSS.

Key Aspects of E-commerce Network Security

- **Web Application Firewalls (WAF):** Specifically designed to protect web applications by filtering HTTP traffic, blocking attacks such as XSS and SQL injection, and protecting against DDoS threats.
- **Next-Generation Firewalls (NGFW):** Offer advanced capabilities beyond traditional packet filtering, including intrusion prevention systems (IPS), deep packet inspection, and application visibility.
- **Traffic Regulation:** Firewalls monitor inbound and outbound traffic, allowing or dropping packets based on strict security rules, which is crucial for maintaining site availability.
- **Data Protection & Compliance:** E-commerce platforms must adhere to security standards like PCI DSS to protect customer payment information, which firewall configurations help enforce.

Firewall Types & Functions in E-commerce

- **Hardware Firewalls:** Installed between the network and the internet for robust perimeter defense.
- **Software Firewalls:** Installed on individual servers for granular protection.
- **Cloud/SaaS Firewalls:** Protect against web-based attacks and, scale with traffic demands.

Benefits

- **Threat Mitigation:** Detects and blocks malware, spyware, and unauthorized access attempts.
- **Customer Trust:** Ensures a secure shopping experience, building confidence in the platform.
- **Performance Stability:** Prevents server crashes by filtering out spam and malicious traffic, ensuring uninterrupted service.

21.1 Types of Firewall :

A network firewall is a security system that protects private networks from unauthorized access. It monitors and controls incoming and outgoing traffic based on predefined security rules.

- Acts as a barrier between internal (trusted) and external (untrusted) networks
- Can be hardware-based, software-based, or both
- Filters traffic using rules, policies, and inspection methods
- Main goal: prevent attacks, malware, and unauthorized access

Types of Network Firewalls

Here are the main types of network firewalls, organized by how they function and where they're deployed:

Packet Filtering Firewall

A basic firewall that checks packet headers like IP, port, and protocol.

- Very fast and lightweight
- Does not inspect data inside packets

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- Provides basic security only

b. Stateful Inspection Firewall

Tracks active connections and makes decisions based on traffic context.

- More secure than packet filtering
- Remembers past traffic (state table)
- Blocks suspicious or unexpected packets

c. Proxy (Application-Level) Firewall

Acts as a middleman between user and destination server.

- Filters data at the application layer
- Hides internal network details
- Can block malicious content before it reaches the user

d. Circuit-Level Gateway

Validates session creation (like TCP handshake) without inspecting data.

- Ensures only legitimate sessions start
- Low processing overhead
- Does not detect internal packet threats

e. Next-Generation Firewall (NGFW)

Advanced firewall combining multiple security features.

- Includes intrusion prevention, malware detection
- Can inspect encrypted traffic
- Provides app-level filtering

2) Network Firewall

A Network Firewall secures the perimeter, while a host-based firewall protects the endpoint.

a. Network Firewall

Placed at the network perimeter to protect the whole network.

- Controls inbound & outbound traffic
- First line of defense
- Ideal for organizations

b. Host-Based Firewall

Installed on individual PCs, laptops, or servers.

- Protects a single device
- Monitors local application traffic
- Useful for personal or endpoint security

3) Data Filtering Method

All three of these firewall types work to control network access, but they differ in their placement and scope.

a. Perimeter Firewall

Placed at the edge to filter traffic between internet and internal network.

- Central security control
- Blocks external attacks
- Common in corporate environments

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b. Internal Firewall

Placed between internal network segments (e.g., departments).

- Prevents insider threats
- Protects sensitive areas (HR, finance)
- Provides micro-segmentation

c. Distributed Firewall

Firewall policies applied on multiple endpoints across the network.

- No single point of failure
- Consistent security across devices
- Good for large, distributed networks

4) Form Factors

A program installed on a computer or server that protects it from network threats.

a. Hardware Firewall

A physical device installed on the network.

- Strong performance, high reliability
- Best for offices or enterprise networks
- More expensive than software firewalls

b. Software Firewall

Installed as a program on computers or servers.

- Easy to configure
- Ideal for individuals and virtual environments
- Lower cost compared to hardware solutions

2.1.2 Firewall Security Policy : A firewall security policy is a defined set of rules and protocols governing incoming and outgoing network traffic to protect resources from unauthorized access. It acts as a barrier by inspecting packets and applying actions—allow, deny, or reject—based on source/destination IP, ports, and protocols.

Key Components and Best Practices:

- **Default Deny:** The most secure approach is blocking all traffic by default and only permitting necessary services.
- **Rule Structure:** Policies should be based on the principle of least privilege, allowing only authorized users and applications access to specific resources.
- **Traffic Types:** Policies must cover both inbound (ingress) and outbound (egress) traffic to prevent data exfiltration and external attacks.
- **Continuous Maintenance:** Due to, as AlgoSec states, 99% of breaches resulting from misconfigurations, policies require regular auditing and optimization.
- **Segmentation:** Network zones should be defined to restrict lateral movement of threats.

Common types of rules include "Allow Specific" (e.g., allowing HTTP/HTTPS), "Deny Specific" (e.g., blocking known malicious IP addresses), and implicit "Deny All" rules.

2.3.1 Transaction Security:

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Transaction security involves practices, protocols, and tools to protect data during financial or digital exchanges, preventing fraud, ensuring compliance, and building trust by securing sensitive info like payment details or records, often through real-time monitoring and defined policies for events like large data exports. Key aspects include authentication, data encryption, integrity checks, and compliance with standards like PCI DSS for card payments.

Key Components & Methods

- **Encryption:**
Scrambling sensitive data (like card numbers) so unauthorized parties can't read it.
- **Authentication:**
Verifying the identity of parties involved (customer, merchant) through multi-factor authentication or digital certificates.
- **Data Integrity:**
Ensuring data isn't altered during transit using rising counters or digital signatures, common in Point-of-Sale systems.
- **Fraud Detection:**
Using analytics to spot unusual behavior, like a user exporting excessive data, and triggering alerts or blocking actions.
- **Policy Enforcement:**
Setting rules (e.g., in Salesforce) to block risky actions like downloading large confidential reports, adds friction to risky transactions.
- **Compliance Standards:**
Adhering to regulations like PCI DSS for handling payment card data, essential for any business taking cards.

Why It Matters

- **Builds Trust:** Customers feel safer sharing financial details.
- **Prevents Fraud:** Stops unauthorized access and misuse of funds or data.
- **Maintains Compliance:** Avoids fines and legal issues by meeting industry standards.

Examples of Use

- **E-commerce:** Securing credit card payments with SSL/TLS and tokenization.
- **Financial Services:** Protecting bank transfers and investment activities.
- **Government:** Securing online tax filings and official document processing.
- **Enterprise Software (Salesforce):** Using policies to control data access and prevent large data exfiltration.

2.3.1 Types of Online Transaction :

Online transactions refer to the exchange of funds via the internet using digital, electronic, or mobile channels instead of cash. Key types include credit/debit cards, UPI, net banking, digital wallets, and Buy Now, Pay Later (BNPL). These methods provide, speed, convenience, and security for e-commerce, bill payments, and peer-to-peer transfers.

Here are the main types of online transactions:

- **Card Payments:** Debit, credit, and prepaid cards allow users to enter card details on a payment gateway.
- **Unified Payments Interface (UPI):** A real-time, instant payment system that links bank accounts to a mobile app, allowing secure, fast transfers using a virtual address or QR code.

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- **Net Banking (Internet Banking):** Allows direct transfer of funds from a user's bank account to a merchant or another account through the bank's portal.
- **Digital/Mobile Wallets:** Prepaid accounts (e.g., Paytm, MobiKwik, Apple Pay) that store funds or card information for quick payments.
- **Electronic Funds Transfer (EFT/ACH):** Direct bank-to-bank transfers, such as NEFT, RTGS, and IMPS in India, often used for larger amounts or recurring payments.
- **Buy Now, Pay Later (BNPL):** Short-term financing options that allow consumers to make purchases immediately and pay later, often in installments.
- **Cryptocurrency Payments:** Decentralized, digital currency transactions (e.g., Bitcoin) that use blockchain technology.
- **QR Code Payments:** A, quick contactless method where a smartphone scans a QR code to initiate a UPI or wallet payment.
- **Contactless/NFC Payments:** Payments made by tapping a card or mobile device near a reader.
- **Peer-to-Peer (P2P) Apps:** Platforms like PayPal or Venmo designed for sending money directly between individuals.

Key Components

- **Payment Gateways:** Services that authorize credit card or direct bank transfers for e-commerce, acting as the middleman between the merchant and the bank.
- **Security:** These methods often include two-factor authentication (2FA) or biometric verification to enhance safety.

2.3.2 Requirement for transaction Security : Transaction security requirements focus on protecting sensitive financial data during transmission and storage, primarily through encryption (SSL/TLS), tokenization, and strict compliance with PCI DSS standards. Key measures include robust authentication (3D Secure, biometrics), real-time fraud detection, secure network firewalls, and regular system vulnerability testing.

Core Transaction Security Requirements:

- **Data Encryption:** All sensitive data, including cardholder information, must be encrypted during transmission across open, public networks and while stored (at rest) to prevent interception.
- **PCI DSS Compliance:** Businesses must follow Payment Card Industry Data Security Standard (PCI DSS) regulations, which include maintaining a secure network, regular testing, and protecting stored data.
- **Tokenization:** Sensitive data (e.g., card numbers) should be replaced with unique tokens to reduce the risk of exposure during a breach.
- **Authentication Mechanisms:**
 - **3D Secure:** An extra layer of security for online transactions, requiring user verification (e.g., OTP) via the bank.
 - **Multi-Factor Authentication (MFA):** Using biometrics, passwords, and tokens to verify identity.
 - **Mutual Authentication:** Verifying both the customer and the merchant to prevent fraud.
- **Fraud Prevention & Detection:** Utilizing AI and machine learning to monitor transaction patterns in real-time, assigning risk scores, and blocking suspicious activity.
- **Network Security:** Implementing firewalls, changing default vendor passwords, and conducting regular security audits to protect infrastructure.

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- **Secure Payment Gateway:** Utilizing reputable, secure payment processors that adhere to high security standards to handle transactions.

These components ensure data confidentiality, integrity, and authentication throughout the payment lifecycle.

2.4.1 Symmetric Key Cryptography:

Symmetric key cryptography, also known as secret key or shared-key cryptography, is a method of encryption where a

single, shared secret key is used for both the encryption of plaintext and the decryption of ciphertext. It is the oldest form of encryption and is primarily used for securing data at rest (storage) and in transit (bulk data encryption) due to its high speed and efficiency.

- **Plaintext:** The original, readable message.
- **Ciphertext:** The scrambled, encrypted output.
- **Secret Key:** A specific, private key known only to the sender and recipient.
- **Encryption/Decryption Algorithm:** Mathematical rules that process the data using the key.

Types of Symmetric Key Ciphers

Symmetric cryptography utilizes two main types of algorithms to handle data:

- **Block Ciphers:** These operate on fixed-size blocks of data (e.g., 64 or 128 bits). Common examples include:
 - **AES (Advanced Encryption Standard):** The current standard, supporting 128, 192, or 256-bit keys.
 - **DES (Data Encryption Standard):** An older, less secure 56-bit key method.
 - **3DES (Triple DES):** Applies DES three times to increase security.
 - **Blowfish/Twofish:** Known for variable key sizes.
- **Stream Ciphers:** These encrypt data one bit or byte at a time, making them ideal for continuous, real-time data streams. Examples include RC4.

Key Advantages

1. **Speed and Efficiency:** Generally faster and less computationally intensive than asymmetric key algorithms, making them ideal for bulk data encryption.
2. **Confidentiality:** Ensures that only parties possessing the secret key can access the message content.

Key Limitations

1. **Key Distribution Problem:** Both parties must securely share the same key beforehand, which is difficult over an insecure channel.
2. **Lack of Non-Repudiation:** Because both parties share the same key, it cannot be proven which party sent the message.

Common Applications

- **File Encryption:** Software like BitLocker and FileVault use symmetric encryption for data at rest.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Secure Communication:** VPNs and SSL/TLS protocols use symmetric encryption to protect data in transit.
- **Database Security:** Protecting sensitive information stored in databases.

2.4.2 Asymmetric Key Cryptography : Asymmetric key cryptography, or public-key cryptography, is a security method using mathematically linked key pairs: a **public key** for encryption (freely shared) and a **private key** for decryption (kept secret). It eliminates the need for secure, pre-shared keys, enabling secure communication over insecure channels for applications like HTTPS/TLS, digital signatures, and encrypted email.

Key Principles and Features

- **Key Pair:** Every entity possesses a unique pair—a public key (locks/encrypts) and a private key (unlocks/decrypts).
- **Directionality:** Data encrypted with the public key can *only* be decrypted by the corresponding private key.
- **Security:** It is computationally infeasible to derive the private key from the public key.
- **Use Cases:** Primarily used for digital signatures (authenticity/non-repudiation) and establishing secure connections (Key Exchange).
- **Performance:** Generally slower than symmetric encryption, it is often used to securely exchange a temporary key, which is then used with faster symmetric algorithms to encrypt the bulk of the data.

Common Algorithms

- **RSA (Rivest-Shamir-Adleman):** One of the first and most widely used systems.
- **ECC (Elliptic Curve Cryptography):** Offers high security with smaller key sizes, making it more efficient.
- **Diffie-Hellman (DH) Key Exchange:** Specifically used for secure key exchange.
- **DSA (Digital Signature Algorithm):** Used for digital signatures.

Asymmetric cryptography is fundamental to modern digital security, including blockchain technology and secure web browsing (SSL/TLS).

UNIT 3 ELECTRONICS PAYMENT SYSTEM(EPS)

3.1 Digital Cash :

Digital cash (or e-cash) is money that exists only electronically, stored in digital wallets or systems, and used for online or in-person payments without physical notes or coins, offering convenience, security, and sometimes anonymity, with examples ranging from bank-issued e-money to cryptocurrencies like Bitcoin, and emerging Central Bank Digital Currencies (CBDCs) like India's e₹. It functions like physical cash but digitally, enabling fast, traceable (or anonymous, depending on type), and often low-cost transactions, with features like offline payments and peer-to-peer transfers.

How it Works

- **Storage:**
Funds are held in digital wallets (on phones, computers) or digital accounts, not physical wallets.
- **Transfer:**

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

Uses internet, digital signatures, or distributed ledgers (blockchain) for exchange between users, vendors, and banks.

- **Issuance:**
Can come from commercial banks, payment providers, or central banks (CBDCs).

Key Characteristics & Types

- **Electronic Form:**
Exists purely as data, not tangible.
- **Security:**
Relies on encryption and digital security; CBDCs offer central bank backing.
- **Anonymity:**
Some systems (like early e-cash concepts) aim for anonymity similar to physical cash.
- **Types:**
 - **Cryptocurrencies:** Decentralized (e.g., Bitcoin).
 - **CBDCs:** Digital form of a country's fiat currency (e.g., e₹).
 - **Virtual Currencies:** Digital money within specific online environments.

Benefits

- **Convenience:** Easy online and mobile payments.
- **Cost-Effective:** Can lower transaction fees.
- **Functionality:** Supports instant P2P transfers, offline payments, and budgeting.

Examples

- **India's e₹:** A CBDC by the RBI, acting like a digital rupee.
- **Bitcoin:** A decentralized cryptocurrency.
- **Digital Wallets (for stored value):** Apple Pay, PayPal (facilitate use of digital funds).

3.1.1 PROPERTIES OF DIGITAL CASH

Digital cash is a form of electronic money characterized by security, anonymity, and portability, allowing for rapid, low-cost, and, in some cases, decentralized peer-to-peer transactions. It provides a medium of exchange, store of value, and divisibility without relying on physical, tangible currency. Key properties include:

- **Security:** Digital cash utilizes cryptographic methods (digital signatures) to prevent forgery, counterfeiting, and unauthorized, "double-spending" of the same digital token.
- **Anonymity/Privacy:** Similar to physical cash, many digital cash systems allow transactions to remain untraceable or anonymous, ensuring user privacy.
- **Portability & Accessibility:** It can be easily stored in digital wallets on devices like smartphones or computers, enabling 24/7, cross-border transactions without traditional banking intermediaries.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Divisibility & Reusability:** Digital cash can be divided into smaller denominations, and it can be reused for multiple transactions.
- **Irretrievability/Finality:** Transactions are often irreversible, similar to handing over physical cash.
- **Offline/Online Capabilities:** It can operate online with a trusted server or offline, allowing transactions to occur without an immediate, continuous network connection.

Digital cash serves as a, medium of exchange, and unit of account, enabling efficient digital, or, in the case of cryptocurrency, decentralized, economies.

3.2 Electronic Cheque : An electronic cheque (eCheck) is a digital version of a paper cheque used for secure, online transactions via the Automated Clearing House (ACH) network. It transfers funds directly between bank accounts faster and more cheaply than physical cheques, featuring enhanced security like encryption, authentication, and digital signatures.

Key Aspects of Electronic Cheques:

- **Process:** Instead of mailing a paper cheque, the payer authorizes a transfer, and the payment is processed electronically through the ACH network.
- **Components:** Requires the payer's account number, routing number, payment amount, and digital signature for authorization.

- **Security:**

Uses multiple layers, including encryption, public key cryptography, and authentication to prevent fraud

.Advantages:

- **Cost-Effective:** Lower processing fees compared to paper cheques and credit cards.
- **Speed:** Faster clearing times (typically 2-3 business days) than traditional paper cheques.
- **Convenience:** Allows for electronic, automated, and recurring payments.
- **Usage:** Commonly used for B2B payments, online bill payments, and direct deposits.

E-cheques are governed by the same legal frameworks as traditional paper cheques, ensuring security and compliance.

3.2.1 PROPERTIES OF E CHEQUE : Key Properties of E-Cheques:

- **Security:** Utilizes digital signatures, encryption, and multi-factor authentication (2FA) to prevent unauthorized access and tampering.
- **Speed & Efficiency:** Processed faster than paper checks, as they eliminate physical transport and manual handling, with funds usually clearing within 3-5 business days.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Convenience:** Can be issued and deposited anytime, anywhere via online banking platforms.
- **Legal Status:** Holds the same legal standing as traditional paper cheques.
- **Cost-Effective:** Reduces costs associated with paper, printing, and postage, making them cheaper than paper checks or even wire transfers.
- **Traceability & Management:** Easily tracked through online banking systems, aiding in reconciliation and reducing fraud risk.
- **Environmental Friendliness:** Promotes a paperless environment.
- **Non-Negotiable:** Typically, e-cheques are not transferable or negotiable, meaning they must be deposited directly into the payee's account.

They are ideal for B2B transactions, recurring payments, and reducing administrative burdens, providing a secure, reliable, and efficient payment method

3.3 ONLINE CREDIT CARD BASED SYSTEM : An Online Credit Card Based System facilitates, manages, and secures electronic transactions for e-commerce, allowing customers to make purchases without physical cash or cards. It utilizes digital, virtual, or physical credit cards, payment gateways (like Razorpay or Authorize.net), and merchant accounts to securely process, authorize, and verify transactions between the cardholder, merchant, and banks.

Key Components and Features

- **Actors:** The system involves the cardholder (customer), merchant (seller), issuing bank, acquiring bank, and card network (e.g., Visa, Mastercard).
- **Virtual Credit Cards:** ICICI Bank offers virtual cards that exist only as data, providing unique card numbers, CVV, and expiration dates for enhanced, secure online shopping.
- **Security & Efficiency:** The system is designed to minimize fraud and risks while providing a seamless user experience.
- **Payment Gateways:** Razorpay and Authorize.net act as intermediaries that securely authorize transactions.
- **Flexibility:** It offers revolving credit lines, allowing consumers to pay later, while businesses gain from increased sales and faster, paperless transactions.
- **Management Tools:** Platforms like Moss and Pine Labs enable corporate, virtual, and physical card management for better financial control.

Common Transaction Flow

1. **Initiation:** The customer enters credit card details on the merchant's website.
2. **Authorization:** The payment gateway sends details to the acquiring bank and card network.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

3. **Verification:** The issuing bank checks for valid funds and approves/declines.
4. **Completion:** The transaction is completed and confirmed to both the merchant and customer.

Popular providers for processing these transactions include Stripe, PayPal, and Clover.

3.3.1 Types of Credit Card Payments :

redit cards are specialized tools categorized by their primary benefits—rewards, cashback, travel, secured, or business. Popular types include rewards cards for points, cashback for direct savings, and travel cards offering perks like lounge access. Secured cards help build credit with collateral, while co-branded cards offer specific discounts with partners.

Common Types of Credit Cards:

- **Rewards Credit Cards:** Earn points on purchases, redeemable for gifts or vouchers.
- **Cashback Credit Cards:** Provide a direct percentage of cash back on transactions.
- **Travel Credit Cards**
Feature air miles, hotel discounts, and free airport lounge access
- **Secured Credit Cards:** Require a fixed deposit, ideal for building credit for those with a low score.
- **Co-branded Credit Cards:** Partner with specific brands (e.g., fuel stations, retailers) for accelerated rewards.
- **Fuel Credit Cards:** Offer savings on fuel purchases and surcharge waivers.
- **Business Credit Cards:** Designed for business expenses, providing higher credit limits and expense tracking.
- **Student Credit Cards:** Tailored for students with minimal income, focusing on building credit.
- **Premium/Luxury Cards:** Offer high-end rewards, concierge services, and exclusive lifestyle privileges.
- **Balance Transfer Cards:** Allow moving debt from high-interest cards to a lower-interest card.

Major Networks and Structure (India Focus):

- **Networks:** Visa, Mastercard, RuPay, American Express.
- **RuPay Credit Cards:** Domestic cards, often enabled for UPI payments.
- **Types by Level:** Classic, Gold, Platinum, Signature/World.

3.3.2 SECURE ELECTRONIC TRANSACTIONS (SET): Secure Electronic

Transaction or SET is a security protocol designed to ensure the security and integrity of electronic transactions conducted using credit cards. Unlike a payment system, SET operates as a security protocol applied to those payments. It uses different encryption and

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

hashing techniques to secure payments over the internet done through credit cards. The SET protocol was supported in development by major organizations like Visa, Mastercard, and Microsoft which provided its Secure Transaction Technology (STT), and Netscape which provided the technology of Secure Socket Layer (SSL).

SET protocol restricts the revealing of credit card details to merchants thus keeping hackers and thieves at bay. The SET protocol includes Certification Authorities for making use of standard Digital Certificates like X.509 Certificate.

Before discussing SET further, let's see a general scenario of electronic transactions, which includes client, payment gateway, client financial institution, merchant, and merchant financial institution. **(SOURCE: geeksforgeeks.org)**

3.4 OTHER FINANCIAL INSTRUMENTS : Financial instruments are contracts representing financial value, acting as assets or liabilities, and include major types like Equity (stocks), Debt (bonds, loans), Derivatives (futures, options), Cash & Cash Equivalents (deposits, money market), and Forex, used for investment, borrowing, or risk management. They facilitate capital flow, with examples ranging from basic cash and shares to complex derivatives like swaps, offering different risk/reward profiles for investors.

Key Categories of Financial Instruments

- **Equity Instruments:**

Represent ownership in a company, offering potential growth but higher risk.

- **Examples:** Common Stocks, Preferred Stocks, ETFs (Exchange-Traded Funds).

- **Debt Instruments:**

Loans made to entities (governments, corporations) in exchange for interest.

- **Examples:** Bonds, Debentures, Treasury Bills, Mortgages, Certificates of Deposit (CDs).

- **Derivative Instruments:**

Contracts whose value is derived from an underlying asset (stock, commodity, currency).

- **Examples:** Futures, Options, Swaps, Forwards.

- **Cash & Cash Equivalents:**

Highly liquid assets easily convertible to cash.

- **Examples:** Bank Deposits, Money Market Instruments.

- **Foreign Exchange (Forex):**

Trading of currencies.

- **Examples:** Spot Forex, Currency Futures, Currency Swaps.

Other Classifications

- **By Market:** Capital Market (stocks, bonds, ETFs) vs. Money Market (short-term debt).
- **By Complexity:** Non-complex (stocks, bonds) vs. Complex (derivatives).

Common Examples & Uses

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **For Savings/Safety:** Fixed Deposits, Small Savings Schemes, Treasury Bonds.
- **For Growth:** Stocks, Mutual Funds (investing in diversified portfolios).
- **For Risk Management:** Derivatives (hedging).
- **For Borrowing:** Loans, Credit Lines, Bonds.

These instruments provide efficient ways to transfer capital, manage financial risks, and achieve various financial goals, from wealth preservation to aggressive growth.

A Point of Sale (POS) is the time and location where a customer completes a purchase, such as a retail checkout counter, a restaurant terminal, or an online checkout page. Modern POS systems combine hardware (scanners, terminals) and software to process payments, track inventory, and generate sales reports.

Key Components and Functions of a POS System

- **Hardware:** Includes tablets, touchscreen monitors, barcode scanners, receipt printers, and card machines (EMV chip, NFC for contactless).
- **Software:** Manages sales, tracks real-time inventory, processes transactions, and maintains customer data
- **Transaction Types:** Handles various payment methods including cash, credit/debit cards, and mobile wallets (e.g., Apple Pay).
- **Data Analysis:** Generates reports on sales trends, employee performance, and inventory levels.

Types of POS Systems

- **Cloud-Based POS:** A modern, web-based system accessible from anywhere, ideal for businesses with multiple locations or mobile needs.
- **Mobile POS (mPOS):** A smartphone or tablet used as a portable register, often used in popup shops, kiosks, or for line-busting in retail.
- **Desktop/Traditional POS:** A fixed, in-store terminal typically used in high-volume retail or restaurants.

Benefits of a Modern POS System

- **Improved Efficiency:** Speeds up checkout, reducing customer wait times.
- **Inventory Accuracy:** Tracks stock levels automatically in real-time, helping to prevent stockouts.
- **Better Data Insights:** Provides actionable data on sales trends to help make informed business decisions.
- **Enhanced Security:** Protects customer data with advanced encryption for card payments

3.4.2 NET BANKING: Net banking (or internet banking) lets you do banking tasks online via a bank's website or app, like checking balances, transferring money, paying bills, and managing investments, without visiting a physical branch, offering 24/7 access with secure

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

login credentials. It's a convenient way to handle finances from anywhere, providing services such as fund transfers (NEFT, IMPS, RTGS), loan applications, and statement viewing through a secure, encrypted portal.

Key Features & Services

- **Account Management:** View balances, transaction history, download statements, and manage linked accounts.
- **Fund Transfers:** Send money to others (within the same bank or different banks) or to your own accounts using methods like IMPS, NEFT, or RTGS.
- **Bill Payments:** Pay utility bills, credit card bills, EMIs, and more.
- **Deposits & Investments:** Book fixed deposits (FDs) or recurring deposits (RDs) and manage investments like mutual funds.
- **Applications:** Apply for loans, credit cards, or order new checkbooks.

How it Works

1. Registration:

You need an active bank account and must register for the service with your bank, often requiring identity verification.

2. Login:

Access the service via your bank's portal using a unique User ID and Password.

3. Security:

Banks use encryption, secure logins, and two-factor authentication (like OTPs) for security.

Benefits

- **Convenience:** Access banking services anytime, anywhere, 24/7, without going to a branch.
- **Efficiency:** Perform many tasks quickly with just a few clicks.

3.4.3 M WALLET: An M-Wallet (mobile wallet) is a digital app on smartphones that securely stores payment information, such as credit/debit cards or prepaid balances, enabling cashless transactions. It acts as a virtual wallet for online payments, peer-to-peer transfers, and contactless, in-store, Near Field Communication (NFC) purchases. Common examples include Apple Pay, Google Pay, and PayPal.

Key Features and Functions of M-Wallets:

- **Convenience:** Allows users to make payments, pay bills, and transfer funds directly from their phone, replacing physical wallets.
- **Security:** Uses encryption, tokenization, and biometric authentication (fingerprint/password) to protect financial data.

Versatility: Beyond payments, some m-wallets can store digital identification, loyalty cards, and travel tickets.

- **Examples:** Popular services include Apple Pay, Google Pay, PayPal, and RTA m-Wallet for storing official documents.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

Benefits of Using an M-Wallet:

- **Speed:** Transactions are faster than using physical cash or cards.
- **Reduced Risk:** Decreases the likelihood of losing cash and provides higher security than carrying physical cards.
- **Accessibility:** Allows managing finances on the go.

Types of M-Wallets:

- **Closed Wallet:** Used exclusively for purchasing goods/services from the issuer (e.g., a branded app).
- **Semi-Closed Wallet:** Allows purchasing from merchants with valid agreements with the wallet issuer.
- **Open Wallet:** Bank-issued apps allowing for various transactions, including cash withdrawals at ATMs.

Specific Use Case - RTA m-Wallet:

In India, the RTA m-Wallet app allows motorists to store digital copies of their Driving License and Registration Certificate, which are legally recognized by authorities.

3.5 Advantages and Disadvantages of EPS : Online payments offer convenience, speed, lower costs, and better tracking, eliminating cash, while their main downsides are security risks like fraud, reliance on internet/technology, privacy concerns, and potential fees or technical glitches. They provide global reach and easier management but require strong digital security practices to mitigate risks like identity theft.

Advantages:

- **Convenience & Speed:** Pay anytime, anywhere without cash, with instant transaction confirmation.
- **Cost-Effective:** Lower transaction fees compared to traditional methods, saving businesses money.
- **Enhanced Security (when used properly):** Features like encryption and two-factor authentication protect data better than carrying cash.
- **Record Keeping:** Automatic digital trails for easy tracking, budgeting, and bookkeeping.
- **Global Reach:** Facilitates international transactions easily.
- **Increased Sales:** More payment options lead to better customer experience and higher conversions.
- **Rewards:** Access to cashback, points, and discounts.

Disadvantages:

- **Security Risks:** Vulnerable to cybercrime, fraud, and identity theft if not secured properly.
- **Technical Dependency:** Requires stable internet and functional devices; outages disrupt payments.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Privacy Concerns:** Platforms collect personal data, risking breaches and misuse.
- **Fees:** Potential service charges, transaction fees, or maintenance costs.
- **Technical Issues:** Glitches, slow processing (for some types), or account lockouts.
- **Digital Divide:** Excludes those without tech access or literacy, note manba finance and NTT DATA Payment Services.

Best Practices:

- Use strong, unique passwords and enable multi-factor authentication.
- Be wary of phishing attempts and unsecured networks.
- Monitor account activity regularly.

UNIT 4 : E COMMERCE AND RETAILING

4.1 Changing retail Industry Dynamics : The retail industry's dynamics are shifting due to digital transformation, evolving consumer behaviors (especially Gen Z/Millennials), value-seeking habits from inflation, and increased focus on personalization, sustainability, and unique experiences (like 'retailtainment'). Key changes include the boom in e-commerce and quick commerce, AI-driven operations, supply chain resilience, omnichannel integration, and the rise of private labels, forcing retailers to balance affordability with superior, tech-enhanced customer journeys.

Key Drivers of Change

- **Digitalization & E-commerce:** Online shopping's convenience drives growth, with demand for instant gratification (same-day delivery) and mobile commerce increasing.
- **Consumer Behavior Shifts:** Younger generations (Millennials, Gen Z) prioritize digital-first experiences, values (sustainability), and unique in-store experiences, while older shoppers focus more on price/value due to economic pressures
- **Technology Integration:** AI for personalization, data analytics, automation, and smart inventory management are crucial for efficiency and customer engagement.
- **Value & Affordability:** Consumers are becoming more price-conscious, leading to trading down, but still value quality, service, and brand perception beyond just price.
- **Experiential Retail:** "Retailtainment," personalized interactions, and unique store designs are essential to draw customers to physical locations.

Emerging Trends & Strategies

- **Omnichannel & All-Channel:** Seamless integration across online, mobile, and physical stores.
- **Quick Commerce:** Rapid growth in fast delivery, especially for groceries, reports [Kearney](#).
- **Personalization:** Using data to tailor offers and experiences.
- **Private Labels:** Store brands are becoming major growth drivers for retailers.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Supply Chain Resilience:** Focus on diversification and local sourcing post-pandemic.
- **Sustainability:** Growing consumer demand for ethical and green practices.

Challenges for Retailers

- High inflation, labor shortages, and logistical hurdles.
- Modernizing technology and cybersecurity.
- Meeting complex customer expectations for speed, value, and ethics.
- Competition from direct-to-consumer (DTC) brands and e-commerce giants.

4.1.1 Over Building and Excess Capacity :

Overbuilding and excess capacity occur when an industry's production capabilities or physical, built structures exceed market demand, leading to reduced profitability, intense competition, and price wars. Often arising from overinvestment during economic booms, misjudged demand, or technological advancements, this imbalance results in high operating costs per unit and potential asset devaluation.

Key Aspects of Overbuilding and Excess Capacity:

- **Definition & Difference:** Overcapacity is a long-run issue where potential output exceeds target levels. Excess capacity is generally considered a short-run phenomenon where current production is lower than the potential, often driven by market downturns.
- **Causes:** Common causes include overestimating future demand, rapid technological upgrades, entry of new competitors, and, in real estate, excessive, rapid construction.
- **Economic Impact:** Firms face higher costs, lower profitability, and increased pressure on profit margins. In real estate, this leads to high vacancy rates and loan defaults.
- **Solutions & Management:** Businesses may address this through restructuring, cost-cutting, diversifying products, or exiting the market. Strategic, long-term forecasting is necessary to mitigate these risks.
- **Strategic Use:** Sometimes, companies maintain excess capacity intentionally to act as a barrier to entry for competitors or to handle sudden spikes in demand.

4.1.2 Demographic Changes : Demographic shifts are rapidly reshaping e-commerce, with Gen Z (1/3 of Indian online shoppers) driving growth, high penetration in Tier-2/3 cities, and a rise in female, mobile-first users. The market is shifting from electronics to high-frequency categories like grocery and beauty. Key trends include rapid 70-80% growth in quick commerce and a move toward social/augmented reality-driven shopping.

Key Demographic & Behavioral Shifts:

- **Age and Generation:** Gen Z and Millennials (18–24 and 25–44 age groups) are the primary, most active online shoppers, while those over 45 face higher digital literacy barriers.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Gender:** Women show a higher tendency for online transactions in certain regions, increasingly impacting fashion and beauty categories.
- **Geographical Expansion:** E-commerce is moving beyond Tier-1 cities, with significant growth in Tier-2, Tier-3, and rural areas.
- **Income and Education:** While higher education often correlates with higher purchasing power, the "democratization" of e-commerce means a broader range of income levels are engaging with, and driving, online retail.
- **Technology Adoption:** Over 80% of shoppers use smartphones for purchases, necessitating mobile-first strategies.

Impact on E-commerce Strategies:

- **Tailored Marketing:** Marketers are segmenting audiences by age, gender, and location to deliver personalized messages that improve conversion.
- **Category Shift:** The focus is moving toward high-frequency purchases like groceries, lifestyle products, and personal care.
- **Social & Visual Commerce:** Increased use of social platforms and augmented reality (AR) to enhance the in-store experience online.
- **Regional Focus:** Localized digital inclusion strategies are necessary to reach older demographics and rural consumers.

4.1.3 CONSUMER BEHAVIOUR : Consumer behavior in e-commerce refers to how online shoppers research, select, and purchase products, driven by convenience, speed, competitive pricing, and trust. Key trends show that 95% of buyers demand fast delivery, and behavior is heavily influenced by social proof, such as reviews and peer recommendations. Key drivers include personalized experiences, mobile commerce, and the 5-stage decision-making process: recognition, information search, evaluation, purchase, and post-purchase.

Key Aspects of E-commerce Consumer Behavior

- **Drivers of Behavior:** Convenience (24/7 access), price comparison capability, and personalized product recommendations are primary motivators.
- **Trust and Security:** Due to lack of physical interaction, consumers rely heavily on website security, clear return policies, and brand reputation to mitigate risk.
- **Influencing Factors:** Social media integration ("social commerce"), influencer endorsements, and detailed user reviews significantly impact decisions.
- **Mobile Shopping (M-commerce):** The prevalence of smartphones has fostered a "shop anywhere, anytime" behavior, making mobile-friendly interfaces crucial.
- **Post-Purchase Evaluation:** High satisfaction leads to loyalty, while easy returns or negative experiences often result in negative reviews and loss of future business.

The Online Decision-Making Process

1. **Problem Recognition:** Identifying a need (e.g., product breaks).

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

2. **Information Search:** Using search engines, social media, and site reviews to find options.
3. **Evaluation of Alternatives:** Comparing prices, features, and shipping times.
4. **Purchase Decision:** The actual purchase, heavily influenced by user experience (UX) and payment convenience.
5. **Post-Purchase Behaviour:** Evaluating the experience, which shapes future loyalty.

Impact of Technology

Artificial intelligence (AI), big data, and machine learning allow businesses to predict behavior, tailor marketing, and create highly personalized shopping journeys.

4.2 Mercantile Mode from Consumer's perspective : From a consumer's perspective, the mercantile mode (or mercantile process model) outlines the online purchasing journey, focusing on convenience, value, and security. It consists of three key phases: pre-purchase search, purchase consummation, and post-purchase support, designed to streamline how consumers find, pay for, and receive products, ensuring a satisfactory experience.

Key Phases from a Consumer's Perspective

- **Pre-purchase Preparation:** Involves searching for products, comparing options (price, quality), and negotiating terms. This phase focuses on gathering information to make an informed decision.
- **Purchase Consummation:** The actual act of buying, including placing the order, authorizing payment securely, and receiving confirmation.
- **Post-purchase Interaction:** Focuses on customer service, product returns, and addressing defects. It ensures accountability, such as tracking shipments and handling returns.

Consumer Expectations and Behaviors

- **Convenience & Speed:** Users expect a seamless, fast checkout process.
- **Secure Transactions:** High importance is placed on safe payment methods.
- **Consumer Types:** Behaviors vary from "impulsive" (quick decisions) to "patient" (analytical, heavy research).

The model aims to improve the overall online shopping experience by addressing consumer needs for better value, quality, and support.

4.2.1 DISTINCT PHASES OF MERCANTILE MODEL : The mercantile model, particularly in the context of e-commerce, defines the interaction framework between consumers and merchants for online transactions. From a consumer perspective, this model consists of three distinct phases that cover the entire purchasing process.

The three distinct phases are:

1. Pre-purchase Preparation Phase

This phase involves the activities a consumer undertakes before deciding to buy a product. It includes:

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Information Search & Discovery:** Searching for products within a large information space to meet specific requirements.
- **Product Selection:** Comparing products based on attributes, price, and quality.
- **Negotiation of Terms:** Determining suitable terms, such as price, availability, and delivery dates.

2. Purchase Consummation Phase

This phase focuses on the actual transaction and the flow of information/documents between the buyer and merchant. It involves:

- **Order Placement:** Submitting the final order.
- **Payment Authorization:** Utilizing electronic payment mechanisms (e.g., credit cards, digital cash, or e-cheques) to secure payment.
- **Settlement:** Transferring funds and confirming the transaction between the bank and merchant.

3. Post-purchase Interaction Phase

This phase includes all activities that occur after the transaction is finalized, ensuring customer satisfaction and support. It includes:

- **Customer Service & Support:** Addressing customer complaints.
- **Product Returns & Defect Handling:** Managing returns, refunds, and product failures.
- **Installation/Maintenance:** Providing necessary follow-up services for the product.

4.2.2 PRE PURCHASE PREPARATION : Pre-purchase preparation is the critical, research-driven phase where consumers identify needs, compare product attributes, evaluate alternatives, and analyze market prices to make informed buying decisions. It involves gathering information via reviews and expert, internal, or external sources to mitigate risk and optimize the purchase.

Key components of pre-purchase preparation include:

- **Need Identification:** Recognizing a problem or requirement that necessitates a purchase.
- **Information Search:** Gathering data from external sources (websites, reviews, friends) and internal memory.
- **Evaluation of Alternatives:** Comparing products based on price, quality, brand, and features.
- **Market Analysis:** Identifying the best supplier, price, and convenience factors.
- **Budget & Financing:** Establishing budget limits and securing necessary financing.
- **Risk Reduction:** Utilizing reviews and, if applicable, expert opinions to ensure satisfaction.

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This process transforms a potential buyer into an informed consumer, ensuring the selected product or service aligns with their specific needs and financial capabilities.

4.2.3 PURCHASE CONSUMPTION : Purchase and consumption represent the two-stage process of acquiring goods (purchasing) and using or disposing of them (consuming). Key to economic activity and marketing, this cycle involves decision-making based on budget, habits, and preferences, often driven by the need to optimize inventory or, in, social contexts, to signal status through conspicuous consumption.

Key Aspects of Purchase and Consumption:

- **Purchase Behaviour:** Involves the decision-making process, often influenced by price, availability, and marketing, and increasingly driven by habits rather than conscious intent.
- **Consumption Process**

The actual use, utilization, or disposal of goods and services.

In business, this is the amount of inventory used or sold within a specific period.

- **Economic Impact:** Every purchase acts as consumption spending, driving economic growth. However, it can lead to high debt levels when driven by impulse or "Buy Now, Pay Later" schemes.
- **Responsible Consumption:** A growing trend focusing on informed, sustainable buying decisions to counter reckless consumerism.
- **The Cycle:** Understanding the full cycle (pre-purchase, purchase, post-purchase consumption) allows for better business performance and consumer satisfaction.

Effective inventory management ensures that the purchase of goods aligns with the rate of consumption, avoiding both excess stock and shortages.

4.2.4 POST PURCHASE INTERACTION :

Post-purchase interaction refers to all customer touchpoints following a purchase, including order confirmation, shipping updates, customer support, and, returns, designed to reduce dissonance, increase satisfaction, and build loyalty. It is a critical, often overlooked, phase that transforms one-time buyers into repeat customers through proactive communication.

Key Aspects of Post-Purchase Interaction:

- **Order Confirmation & Tracking:** Providing immediate confirmation and real-time shipping updates (e.g., via SMS or email) keeps customers informed, reducing anxiety and support inquiries.
- **Proactive Communication:** Sending personalized messages, such as thank-you notes or instructions on how to use the product, improves the overall experience.

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Returns & Support**: An easy, transparent returns process is crucial for retaining trust, while efficient customer service (including AI or video support) resolves issues quickly.
- **Feedback & Engagement**: Requesting reviews or feedback demonstrates that the brand values the customer's opinion and helps identify areas for improvement.
- **Loyalty & Marketing**: Leveraging the post-purchase phase with targeted, relevant offers or loyalty programs can drive repeat purchases.

Benefits of Optimized Post-Purchase Interaction:

- **Reduced Dissonance**: Decreases "buyer's remorse," especially for high-value or complex items.
- **Increased Lifetime Value (CLV)**: Encourages repeat business, as 60-70% of sales come from existing customers.
- **Brand Advocacy**: Turns satisfied customers into loyal advocates through positive experiences.

Effective post-purchase interactions require a mix of automated,, personalized, and, timely communication to make the customer feel supported after the sale is completed.

4.3 MANAGEMENT CHALLENGES IN ONLINE RETAILING: Online retailing management faces critical challenges, including complex inventory synchronization across channels, rising customer expectations for fast shipping and easy returns, and the need for seamless, personalized omnichannel experiences. Key issues involve managing high return rates, adopting rapidly changing technology like AI, and maintaining cybersecurity.

Key Management Challenges in Online Retailing

- **Inventory and Supply Chain Complexity**: Maintaining accurate, real-time visibility of stock across multiple channels is difficult, often leading to overstocking or stockouts. Managing inventory in a decentralized, multi-channel environment is a major challenge.
- **Order Fulfillment and Logistics**: Meeting customer demands for rapid delivery, such as next-day or same-day shipping, puts immense pressure on logistics.
- **Return Management**: Handling high volumes of product returns efficiently while offering a seamless experience is a significant cost and operational challenge.
- **Technology Adaptation and Integration**: Keeping up with technological advancements, including AI, automation, and integrating disparate systems (e.g., POS, website, inventory), requires significant investment and expertise.
- **Customer Experience and Personalization**: Creating a personalized shopping experience and maintaining loyalty, despite the impersonal nature of online shopping, is challenging.
- **Data Management and Security**: Protecting customer data and ensuring compliance with regulations while utilizing analytics for customer intelligence is crucial.

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Marketing and Competition:** Standing out in a crowded, competitive market requires high advertising spend and effective, targeted marketing.

Operational and Strategic Hurdles

- **Omnichannel Integration:** Synchronizing online and offline channels for services like BOPIS (Buy Online, Pick Up In-Store) is difficult.
- **Digital Transformation:** Moving from traditional retail to a technology-driven, digital-first company requires a major mindset shift.
- **Resource Management:** Managing small teams to handle broad product ranges can lead to fragmented, inefficient operations.

4.3.1 RETAILING STRATEGIES:

Retail strategies are comprehensive plans to sell products by blending online/offline experiences (Omnichannel), personalizing offers with AI, leveraging social media, optimizing in-store experience (layout, events), building loyalty programs, and using data analytics for targeted marketing to attract and retain customers. Key areas include customer experience, technology integration (AI, mobile), data utilization, and efficient operations like inventory management.



Core Strategies

- **Omnichannel Retailing:**
Create a seamless experience across all touchpoints (in-store, online, mobile), offering features like click-and-collect or virtual try-ons.
- **Personalization:**
Use customer data and AI to deliver tailored recommendations, ads, and offers, boosting engagement and conversion.
- **Loyalty Programs:**
Reward repeat purchases and social engagement to build strong customer relationships.
- **In-Store Experience:**
Design engaging store layouts, host events, and use interactive elements to drive foot traffic and dwell time.

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Data & AI:**
Leverage data analytics for business intelligence, smart inventory, targeted advertising, and customer service automation (chatbots).

Key Tactics & Trends

- **Social Commerce:** Enable in-app purchases and partner with influencers for brand awareness.
- **Content Marketing:** Use blogs, videos, and live streams to educate and entertain customers.
- **Employee Training:** Invest in well-trained staff to enhance customer service and sales.
- **Local SEO & Community:** Engage locally through SEO and community involvement to attract nearby customers.
- **Supply Chain Optimization:** Improve efficiency from end-to-end for better revenue and customer satisfaction.

Foundational Elements

- **The 4 Ps:** Product, Price, Place, and Promotion remain fundamental to any strategy.
- **Understanding Customers:** Deeply knowing your target audience is crucial for attracting the right full-price customers.

4.3.2 Managing Channel Conflicts: Channel conflict management involves strategies to resolve disagreements between different partners (like manufacturers, wholesalers, retailers) in a supply chain, focusing on clear roles, consistent pricing, transparent communication, and aligned goals to foster collaboration, often using tools like Partner Relationship Management (PRM) software, mediation, territory mapping, and incentive programs to prevent destructive competition and ensure mutual growth, rather than win/lose outcomes.

Types of Conflicts

- **Vertical Conflict:** Between different levels (e.g., manufacturer vs. retailer).
- **Horizontal Conflict:** Between partners at the same level (e.g., two retailers).
- **Multichannel Conflict:** Between different channels (e.g., online store vs. physical store).

Key Management Strategies & Tactics

1. **Strategic Planning:**
Define clear roles, responsibilities, and territories for each channel from the start.
2. **Transparent Communication:**
Share information about new products, pricing, and strategy early to prevent surprises.
3. **Pricing Consistency:**
Implement [Minimum Advertised Price](#) (MAP) policies or ensure fair pricing across channels.
4. **Offer Differentiation:**

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

Provide exclusive products or bundles to specific partners to reduce direct competition.

5. **Align Incentives:**

Reward partners for following guidelines and sharing data, fostering cooperation.

6. **Leverage Technology:**

Use PRM software for seamless data sharing (inventory, demand) and better coordination.

7. **Superordinate Goals:**

Establish shared goals that all partners work toward, promoting collaboration over competition.

8. **Mediation & Diplomacy:**

Use third-party intervention or established processes for dispute resolution when conflicts arise.

Why it Matters

Effective management turns conflict from a destructive force into opportunities for improved performance, stronger partner relationships, and sustainable growth for the entire distribution network.

4.3.3 LEARN TO PRICE ONLINE PRODUCTS AND SERVICES: Pricing online products and services requires balancing costs, competitor rates, and customer value to ensure profitability. Key steps include calculating total expenses (COGS, overhead), analyzing competitors, and selecting a strategy—such as cost-plus, value-based, or penetration pricing—while continuously monitoring and adjusting prices based on market trends and demand.

Key Pricing Strategies for Online Offerings

- **Cost-Plus Pricing:** Add a markup percentage to your total costs (e.g., $\text{Cost} + (\text{Cost} \times \text{Markup}) = \text{Price}$).
- **Competitive Pricing:** Research competitors' prices and set yours slightly higher, lower, or equal, depending on your brand's positioning.
- **Value-Based Pricing:** Price based on the perceived value to the customer rather than the cost to produce, often effective for premium services.
- **Penetration Pricing:** Launch with low prices to gain market share, then increase them later.
- **Price Skimming:** Launch at a high price for early adopters and gradually lower it.
- **Dynamic Pricing:** Adjust prices in real-time based on supply, demand, and user behavior.
- **Bundle Pricing:** Combine multiple products or services at a lower price than if purchased separately.

Steps to Determine Pricing

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

1. **Calculate Total Costs:** Include all fixed costs (software subscriptions, overhead) and variable costs (labor, raw materials) to establish a baseline.
2. **Define Target Margin:** Determine the profit percentage desired after covering costs.
3. **Analyze the Market:** Research competitors on platforms like Etsy, Amazon, or social media to understand the average price range.
4. **Consider Customer Willingness to Pay:** Evaluate what the target audience values and is willing to spend.
5. **Test and Adjust:** Monitor sales data and adjust prices based on performance, seasonal trends, and market feedback.

For digital products, consider that lower, competitive prices may be necessary for market penetration, whereas strong, established brands can command higher, value-based pricing.

4.3.4 DESIGN THE LAYOUT OF ONLINE STORE : n effective online store layout requires a user-first, responsive design that prioritizes intuitive navigation, high-quality visuals, and streamlined, fast-loading product pages to maximize conversions. Key elements include a clear header menu, a compelling hero section with a call-to-action (CTA), organized product grids, and trust-building elements like customer reviews.

Key Components of an Online Store Layout

- **Header & Navigation:** Keep it simple. Include a logo, search bar, cart icon, and essential product categories for quick navigation.
- **Hero Section/Homepage:** Utilize a large, engaging banner (hero image or video) showcasing top products or promotions, coupled with a clear, direct CTA button.
- **Product Grid/Catalog:** Display products with high-resolution images, clear pricing, and hover effects that show alternative views. Use consistent, clean cards to avoid a cluttered look.
- **Navigation & Filters:** Implement detailed filtering options (price, size, color, brand) on the side or top to help customers narrow down choices.
- **Product Page Layout:**
 - **Mobile First:** Prioritize placing product name, price, and CTA above the fold, using collapsible tabs for detailed descriptions to manage space.
 - **Visuals:** Utilize multiple, high-quality images and videos for better product showcasing.
- **Footer:** Include essential links: FAQs, shipping/returns policy, contact information, social media links, and a newsletter sign-up.
- **Trust Signals:** Feature customer reviews, ratings, and secure payment icons prominently to encourage purchases.

Design Best Practices

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **White Space:** Balance content with ample whitespace to make the design feel clean and professional.
- **Color Palette:** Use a consistent color scheme that aligns with your brand identity.
- **Responsive Design:** Ensure the layout adapts flawlessly to mobile devices, as many users shop on phones.
- **Speed Optimization:** Optimize image sizes for fast loading times to reduce bounce rates.

Utilize platforms like Shopify, WordPress with WooCommerce, or design tools like Figma to create, test, and refine the layout based on user behavior



EXAMPLE ON LAYOUT OF ONLINE STORE

UNIT 5 : USE THE VARIOUS SUPPLY CHAIN MANAGEMENT SOFTWARE

Fundamental of Supply Chain:-

The fundamentals of Supply Chain Management (SCM) involve the strategic planning, execution, and control of activities from sourcing raw materials to delivering the final product, focusing on efficiency, value creation, and customer satisfaction through core processes like planning, sourcing, making (production), delivering (logistics), and returning (reverse logistics). Key principles include forecasting demand, managing inventory, [procurement](#), [logistics](#), [risk management](#), [technology integration](#), and fostering strong supplier/customer relationships, all while optimizing the flow of goods, information, and finances.

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

Core Processes & Elements

- **Planning:** Forecasting demand, aligning supply chain strategy with business goals.
- **Sourcing/[Procurement](#):** Acquiring raw materials, components, and services from suppliers (direct & indirect).
- **Making/Production:** Manufacturing goods, managing internal processes.
- **Delivering/Logistics:** Warehousing, transportation, and distribution to customers.
- **Returning/[Reverse Logistics](#):** Handling product returns, damages, and recycling.

Key Principles & Concepts

- **Integration:** Connecting all stages and partners (suppliers, manufacturers, distributors, retailers) in a network.
- **The 7 Rs:** Ensuring the Right Product, Quantity, Condition, Place, Customer, Time, and Price.
- **Efficiency & Cost-Effectiveness:** Eliminating waste and optimizing resource allocation.
- **Risk Management:** Identifying and mitigating potential disruptions.
- **Technology:** Utilizing tools like AI, Blockchain for better visibility, analytics, and automation.
- **Customer Focus:** Meeting customer needs for speed, quality, and reliability.

The "Three Flows"

1. **Product Flow:** Movement of goods from supplier to customer.
2. **Information Flow:** Data sharing (orders, forecasts, status) across the chain.
3. **Financial Flow:** Payments, credit terms, and cash flow.

Goals of SCM

Create net value and competitive advantage, Synchronize supply with demand, and Improve performance across the entire chain.

5.1.1 Pull V/s Push SCM :

Push supply chains build inventory based on sales forecasts and push products downstream, ideal for stable demand but risking overstock; pull supply chains trigger production from actual customer orders, minimizing waste and holding costs but needing robust systems for sudden demand. A [push strategy](#) (make-to-stock) forecasts demand, while a [pull strategy](#) (make-to-order/demand-driven) responds to real-time orders, with many companies using a hybrid [push-pull strategy](#) to balance efficiency and responsive

Push Supply Chain

- **Trigger:** Demand forecasts and historical data.
- **Process:** Products are "pushed" through the chain from manufacturer to customer.
- **Inventory:** High, as stock is built in anticipation of orders.
- **Best For:** Stable, predictable demand; standardized products; longer shelf lives (e.g., basic groceries, seasonal items).

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
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- **Pros:** Lower production costs through economies of scale, product availability during peaks.
- **Cons:** Risk of overstocking, obsolescence, and supply chain disruptions (bullwhip effect).

Pull Supply Chain

- **Trigger:** Actual customer orders and real-time consumption.
- **Process:** Products are "pulled" through the chain as needed (demand-driven).
- **Inventory:** Low, as items are made to order.
- **Best For:** Unpredictable or volatile demand; customized products; shorter shelf lives (e.g., custom computers, luxury goods).
- **Pros:** Reduced inventory costs, less waste, greater flexibility and responsiveness.
- **Cons:** Potential stockouts if demand surges, difficulty handling extended lead times, higher per-unit costs.

5.1.2 ELEMENT OF SCM: The core elements of Supply Chain Management (SCM) involve a cycle of Planning, Sourcing (Procurement), Making (Manufacturing), Delivering (Logistics), and Returning (Customer Service), all driven by integration and technology to manage the flow of goods from raw materials to the end customer efficiently. Key supporting components include inventory management, warehousing, demand forecasting, and strong supplier/customer relationships, all working for cost-effectiveness and customer satisfaction.

Core Elements (The Five Pillars)

- **Planning:** Creating a strategy for managing all resources to meet customer demand, analyzing needs, and setting goals.
- **Sourcing (Procurement):** Selecting suppliers, ordering materials, managing inventory, and paying suppliers.
- **Making (Manufacturing):** Producing goods, including assembly and testing.
- **Delivering (Logistics):** Managing transportation, warehousing, and distribution to get products to customers.
- **Returning (Customer Service):** Handling customer issues, returns, and warranties.

Key Supporting Components

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Integration**: The crucial process of coordinating all functions and partners for seamless data flow and communication.
- **Information Technology**: Software and systems that enable planning, tracking, and communication.
- **Inventory Management**: Balancing stock levels to meet demand without overstocking.
- **Demand Forecasting**: Predicting future customer needs to guide production and inventory.
- **Supplier Relationship Management (SRM)**: Building strong ties with suppliers for better quality and service.

Guiding Principles (The 4 C's)

- **Coordination & Collaboration**: Working closely across departments and with partners.
- **Cost Efficiency**: Minimizing operational expenses.
- **Customer Focus**: Meeting customer needs and improving experience.
- **Continuous Improvement**: Constantly seeking ways to enhance processes.



5.1.3 INTEGRATING FUNCTION IN SUPPLY CHAIN: Integrating functions in a supply chain connects suppliers, manufacturers, distributors, and retailers into a unified system to optimize material, information, and financial flows. It merges internal departments (procurement, production, logistics) with external partners to improve efficiency, reduce costs, enhance visibility, and boost customer satisfaction.

Key Aspects of Integrating Functions

- **Information Sharing**: Real-time data sharing regarding demand forecasts, inventory levels, and production schedules.
- **Process Coordination**: Synchronizing activities across procurement, manufacturing, and distribution to eliminate bottlenecks and reduce delays.
- **Strategic Alignment**: Aligning supply chain goals with overall business strategy for long-term competitiveness.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Technology Utilization:** Leveraging digital technologies and platforms to connect partners, increasing agility and responsiveness.

Key Benefits of Integration

- **Cost Reduction:** Decreased inventory holding costs, minimized delays, and fewer operational redundancies.
- **Improved Efficiency:** Enhanced productivity through streamlined, synchronized, and transparent processes.
- **Better Customer Satisfaction:** Faster, more reliable delivery times and improved product quality.

Levels of Integration

- **Internal Integration:** Aligning internal functions such as sales, production, and logistics to work as one.
- **External Integration:** Extending collaboration to include suppliers, partners, and customers for smoother operations.
- **Vertical Integration:** Securing control over the supply chain by acquiring, or partnering with, suppliers (backward) or distributors (forward).

By eliminating functional silos, companies gain enhanced visibility and better decision-making capabilities

5.2 Managing Retail Supply Chain:

Managing a retail supply chain involves orchestrating the entire flow of goods from sourcing, manufacturing, and warehousing to distribution and final, often omni-channel, delivery to the customer. It requires accurate demand forecasting, inventory optimization, and robust logistics to ensure products are available at the right time and place, enhancing customer satisfaction while minimizing costs.

Key Components of Retail Supply Chain Management

- **Demand Forecasting:** Using data to predict customer buying patterns to avoid stockouts or overstocking.
- **Sourcing and Procurement:** Selecting suppliers, negotiating contracts, and purchasing raw materials or finished goods.
- **Inventory Management:** Tracking and optimizing stock levels across multiple channels, including, stores, warehouses, and online.
- **Warehousing and Distribution:** Managing storage facilities, picking, packing, and shipping products efficiently.
- **Logistics and Transportation:** Moving goods from manufacturers to distribution centers and, finally, to the end consumer.
- **Reverse Logistics:** Handling product returns efficiently, which is critical for customer service.

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DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

Strategies for Effective Management

- **Leveraging Technology:** Using AI, automation, and real-time data analytics to improve visibility and responsiveness to market changes.
- **Omnichannel Integration:** Synchronizing inventory and order management across physical stores and digital platforms for a seamless customer experience.
- **Building Resilient Partnerships:** Maintaining strong relationships with suppliers to mitigate risks and disruptions.
- **Sustainability Focus:** Incorporating ethical sourcing and reducing waste, which can also lower operational costs.

Common Challenges

Retailers often face challenges such as inaccurate inventory, unpredictable consumer demand, high operational costs, and the complexity of managing multiple sales channels simultaneously. Overcoming these requires visibility, agility, and modern, integrated systems.

5.2.1 THE ORDER MANAGEMENT CYCLE: The Order Management Cycle (OMC) is the end-to-end process of capturing, fulfilling, and tracking customer orders, starting from purchase placement to final delivery and post-sale support. It involves key stages: order placement, processing, fulfillment (picking/packing/shipping), and returns management. An effective cycle optimizes inventory, reduces costs, and improves customer satisfaction.

Key Stages of the Order Management Cycle

- **Order Placement (Capturing):** The customer places an order via e-commerce, app, or phone, which is then captured and validated by an Order Management System (OMS).
- **Order Processing:** The system checks inventory availability, validates payment, and confirms the order details.
- **Order Fulfillment:** The order is routed to a warehouse or 3PL, where it is picked, packed, and assigned a tracking number.
- **Shipping & Delivery:** The package is dispatched, with real-time tracking updates sent to the customer.
- **Returns & After-Sales:** If necessary, the process handles returns, refunds, and ongoing customer service.

Components of an Efficient Cycle

- **Inventory Management:** Real-time visibility across channels to prevent stockouts.
- **OMS Software:** [Oracle's](#) [SAP's](#) [IBM's](#) [Fluent Commerce](#) [ShipBob](#) [Monday.com's](#) solutions automate the entire process to reduce errors and speed up delivery.
- **Data Accuracy:** Ensuring the right products are delivered to the right location.

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

An optimized OMC directly impacts customer loyalty and reduces operational bottleneck.

5.3 Supply Chain Application Software :

Supply Chain Management (SCM) software is a suite of digital tools designed to plan, execute, and optimize the end-to-end flow of goods, data, and finances—from raw material sourcing to final delivery. These applications leverage AI and cloud technology to improve visibility, reduce costs, and enhance inventory management, featuring modules for procurement, demand forecasting, logistics, and warehouse operations. Key solutions include SAP, Oracle, Blue Yonder, Infor, and Kinaxis.

Key Types and Features

- **Supply Chain Planning (SCP)**: Used for demand forecasting, inventory optimization, and sales and operations planning (S&OP) to balance supply and demand.
- **Supply Chain Execution (SCE)**: Manages real-time activities, including Warehouse Management Systems (WMS) for inventory tracking and Transportation Management Systems (TMS) for freight optimization.
- **Procurement/Sourcing**: Automates purchasing, supplier relationship management (SRM), and contract management.
- **Logistics/Order Management**: Oversees shipping, tracking, and fulfillment (e.g., Fleet Hub, FreightPOP).

Top Supply Chain Software Providers

- **SAP SCM**: A leading comprehensive suite for integrated business planning, logistics, and manufacturing.
- **Oracle SCM Cloud**: Known for supply chain planning, procurement, and manufacturing solutions.
- **Blue Yonder**: Specializes in AI-driven supply chain planning, WMS, and TMS.
- **Kinaxis**: Focuses on RapidResponse for concurrent planning.
- **Manhattan Associates**: Known for advanced warehouse management (WMS) and transportation solutions.
- **Infor**: Offers specialized SCM solutions for manufacturing and distribution.

Benefits of SCM Application Software

- **Enhanced Visibility**: Real-time tracking of goods from origin to destination.
- **Cost Reduction**: Improved efficiency in logistics and inventory holding costs.
- **Increased Agility**: Better forecasting enables faster response to demand fluctuations.
- **Improved Collaboration**: Better supplier relationship management.

Modern Trends

Current SCM software is increasingly moving toward **cloud-based platforms** that offer

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

scalability and lower upfront costs, integrating Artificial Intelligence (AI) and the Internet of Things (IoT) for predictive analytics and real-time monitoring.

5.3.1 SOFTWARES FOR SCM :

SCM (Supply Chain Management) software provides digital tools to plan, manage, and optimize the flow of goods, data, and finances from raw materials to final delivery, covering procurement, production, logistics, and inventory to boost efficiency, visibility, and cost-savings. These systems use advanced tech like AI and IoT to automate processes, improve collaboration, and build resilient, agile supply chains for businesses of all sizes, integrating with existing ERP systems like [Oracle, SAP, and Microsoft](#), [SAP Business Suite](#), and [Microsoft D365](#).

Key Functions of SCM Software

- **[Planning](#)**: Demand forecasting, inventory planning, production scheduling.
- **[Procurement](#)**: Managing suppliers and sourcing materials.
- **[Manufacturing](#)**: Controlling production and enterprise asset maintenance.
- **[Logistics](#)**: Transportation, fleet management, and order fulfillment.
- **[Visibility](#)**: Real-time tracking of products and data across the chain.

Benefits of Using SCM Software

- **Reduced Costs**: Identifying inefficiencies in procurement and logistics.
- **Improved Efficiency**: Automating tasks and streamlining workflows.
- **Enhanced Visibility**: Real-time insights into operations.
- **Greater Agility**: Responding quickly to disruptions and changes.

Better Collaboration: Centralizing data for all partners (suppliers, manufacturers, retailers)

Types of SCM Software Solutions

- **[Enterprise SCM \(eSCM\)](#)**: Comprehensive suites from vendors like Oracle, SAP, and [Infor](#).
- **Specialized Tools**: Platforms focusing on specific areas like planning ([Blue Yonder](#)) or [analytics \(Canaxis\)](#).
- **Integrated Platforms**: Solutions that combine SCM with ERP (Enterprise Resource Planning) for a unified system, such as SAP S/4HANA or Microsoft Dynamics 365.

Modern Trends

- **Cloud-Based**: Increasing adoption of cloud solutions for scalability.
- **AI & IoT**: Leveraging artificial intelligence and the Internet of Things for predictive insights and automation.
- **Sustainability**: Integrating metrics to track environmental impact.

[Net-centric computing](#) (NCC) is a distributed paradigm focusing on applications and data accessed via networks (Internet, LAN/WAN) rather than localized on a single machine. It utilizes open standards, web-based protocols (HTTP/HTTPS), and cloud technologies to enable collaboration, scalability, and on-demand access from various devices.

Key aspects of Internet and network-centric computing include:

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E-COMMERCE
DIPOLMA IN COMPUTER SCIENCE & ENGINEERING
SEMESTER III

- **Architecture & Evolution:** It is an evolution of [client/server computing](#) designed to handle large-scale, decentralized systems.
- **Key Components:** Involves [cloud computing](#) (IaaS, PaaS, SaaS), [middleware](#), [embedded systems](#), and intelligent networking hardware.
- **Data-Driven Focus:** Modern systems are becoming more [content-focused](#), with networks designed to locate, manage, and deliver data by name, regardless of where it is stored.
- **Characteristics:** It provides "anywhere, anytime" access, ubiquitous connectivity, higher bandwidths, and supports parallel programming.
- **Impact:** Enables advanced, collaborative applications like IoT, e-commerce, and cloud-based services.

5.3.3 IMPACT OF WEB ON APPLICATION SOFTWARES:

The web has transformed application software from locally installed, static programs into dynamic, cloud-based, and universally accessible web applications. It enables instant, centralized updates, cross-platform compatibility, and reduced maintenance, boosting efficiency and collaboration. However, this shift requires constant internet connectivity and introduces higher security risks and performance dependencies on browser speed.

Key Impacts of the Web on Application Software

- **Accessibility and Ubiquity:** Applications can be accessed from any internet-connected device (PCs, smartphones, tablets), enabling global access and remote collaboration.
- **Centralized Maintenance and Updates:** Updates are applied once on the server, ensuring all users are on the latest version without requiring manual installation, which lowers, supporting costs.
- **Shift to Cloud and SaaS:** Software-as-a-Service (SaaS) models have replaced many desktop, tools, allowing for better scalability to meet user demand without investing in heavy infrastructure.
- **Improved Collaboration and Productivity:** Web-based tools, such as content management systems and shared documents, allow multiple users to work simultaneously, increasing efficiency and reducing data duplication.
- **Reduced Development Costs:** Using standard web technologies (HTML, CSS, JavaScript), developers can build cross-platform apps faster and more cost-effectively compared to native applications.
- **Security and Performance Challenges:** Increased vulnerability to online threats necessitates robust security measures. Furthermore, reliance on internet speed can lead to performance limitations compared to desktop apps.

The web has forced a shift towards user-centric design and accelerated the speed at which software is developed and delivered to market.
